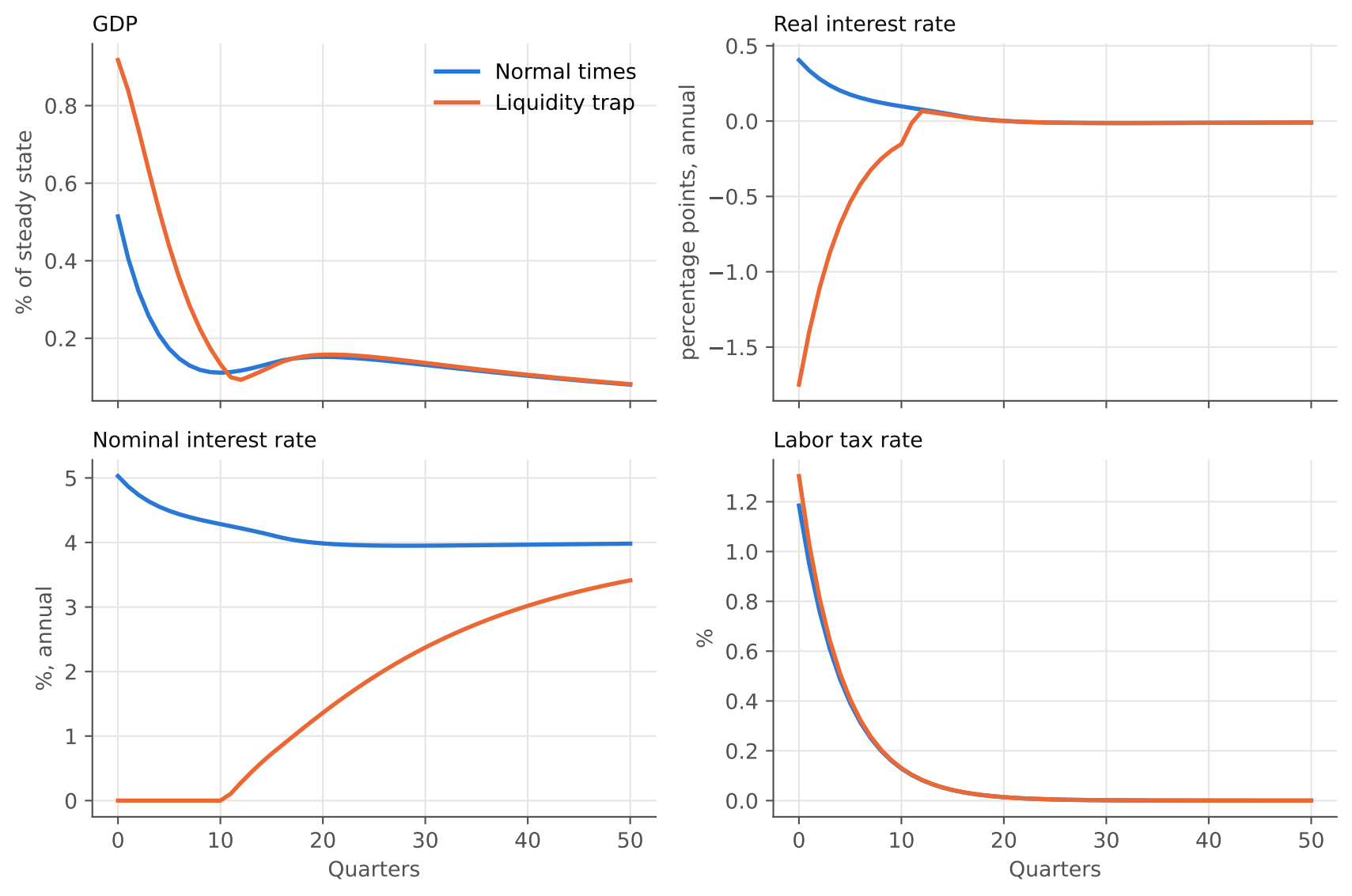
GDP
Normal times
Liquidity trap
% of steady state
0.8
0.6
0.4
0.2
Real interest rate
percentage points, annual
0.5
0.0
−0.5
−1.0
−1.5
Nominal interest rate
%, annual
5
4
3
2
1
0
Labor tax rate
%
1.2
1.0
0.8
0.6
0.4
0.2
0.0
0
10
20
30
40
50
Quarters